DE.BLUIZZ FX STRATEGY

BREAKOUT + RETEST

A complete, rule-based forex lesson

Level → Breakout → Retest → Confirmation → Entry → Risk → Target

Watermark: **De.Bluizz Fx**

Important: This PDF is educational. Forex is leveraged and risky. No strategy guarantees profit. The charts in this lesson are custom-generated illustrations, not live broker screenshots.

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1. The Core Idea

A breakout happens when price closes beyond a meaningful boundary. A retest happens when price returns to that broken area. The strategy waits for the market to show that the old resistance can become support, or old support can become resistance.

The sequence is:

1. Mark a meaningful level/zone.
2. Wait for a candle to close beyond it.
3. Do not chase the breakout.
4. Wait for price to return to the zone.
5. Watch how price behaves at the retest.
6. Require a confirmation trigger.
7. Enter only if the stop and target make sense.
8. Risk a fixed amount.
9. Accept the outcome without moving rules emotionally.

> The strategy is not 'buy every breakout'. It is **trade only a confirmed breakout + retest that meets all your filters.**

Why wait? A retest gives the market another opportunity to demonstrate whether the broken level has actually changed role. It can filter some false breakouts, although it cannot eliminate losses or guarantee a winning trade.

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2. Choosing the Right Level

The quality of the level matters. A perfect entry at a poor level is still a poor setup.

Good candidates:

- Clear horizontal resistance or support.
- Range high or range low that has been respected multiple times.
- Meaningful swing high or swing low.
- Major higher-timeframe level.
- Well-formed channel/trendline boundary with multiple meaningful touches.

Use a zone rather than an impossibly precise line. The zone should be narrow enough to define the setup and invalidation, but wide enough to reflect normal price noise.

Prefer levels that are obvious on the chart. If you need ten indicators to prove the level exists, it may not be a clean level for a simple breakout/retest system.

Target check: before entry, locate the next major opposing level. If that obstacle is too close, the trade may not offer enough room for your required reward-to-risk.

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3. Valid Breakout Rules

For the core De.Bluizz model, a breakout requires a **completed candle close** beyond the zone.

Bullish breakout:

- Price is below/at resistance.
- A bullish candle closes above the resistance zone.
- The close is meaningful, not just a tiny amount beyond the line.
- The next price action does not immediately erase the breakout.
- There is room toward the next target.

Bearish breakout:

- Price is above/at support.
- A bearish candle closes below the support zone.
- The close is meaningful.
- The market does not immediately reclaim the level.
- There is room toward the next target.

A wick through a level is not enough. Treat it as a possible liquidity test or false break until a close and subsequent behavior support the breakout.

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4. Valid Retest Rules

After the close beyond the level, wait. Price may return immediately, after several candles, or after a short continuation.

A bullish retest is strongest when:

- Price returns to former resistance.
- The zone is touched or slightly pierced.
- Price rejects the zone and closes back upward.
- A bullish engulfing, rejection wick, or strong bullish close appears.
- The old resistance behaves as support.

A bearish retest is strongest when:

- Price returns to former support.
- The zone is touched or slightly pierced.
- Price rejects upward pressure.
- A bearish engulfing, rejection wick, or strong bearish close appears.
- The old support behaves as resistance.

Multiple retests can occur. Do not assume that the first touch must be the only touch. What matters is whether the level continues to hold and whether your predefined confirmation remains valid.

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5. Entry Confirmation

Choose one entry trigger and keep it consistent during testing.

A. Retest candle close

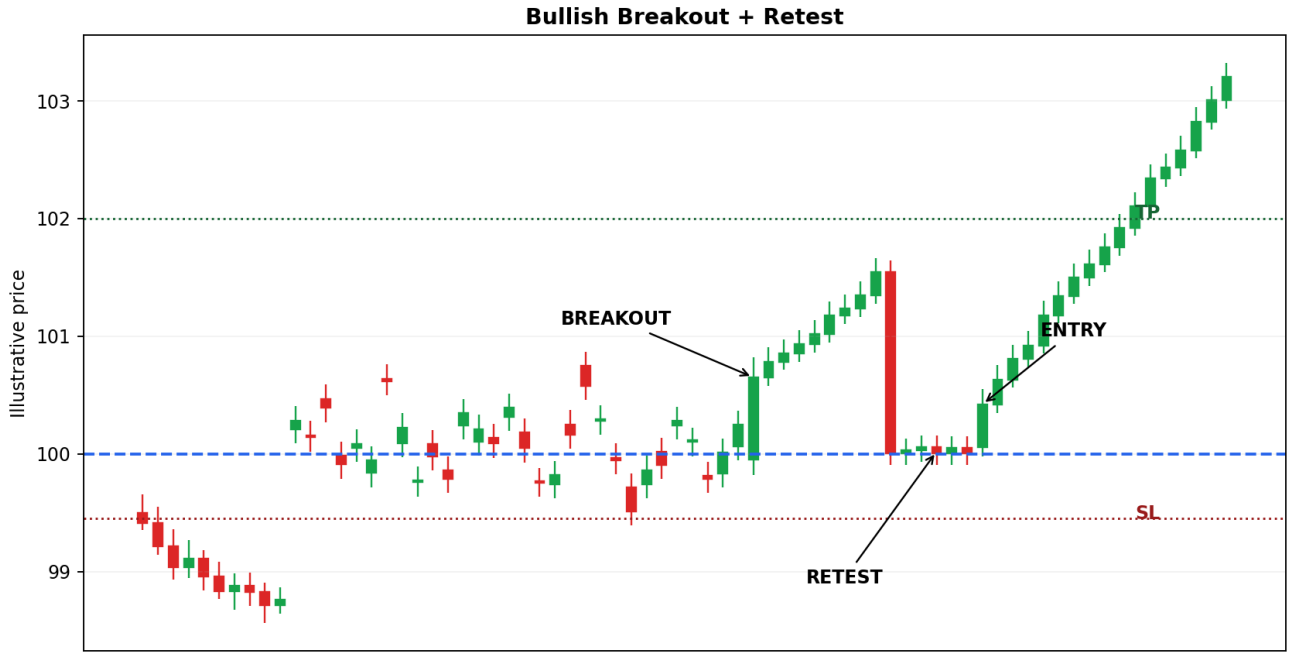
Enter after a rejection/confirmation candle closes in the breakout direction. Simple and easy to test.

B. Break of confirmation candle

For a bullish setup, enter when price breaks the confirmation candle high. For a bearish setup, enter when price breaks its low. This adds confirmation but can worsen entry price.

Useful patterns:

- Engulfing candle
- Pin/rejection candle
- Strong directional close
- Small consolidation followed by a directional break
- Lower-timeframe structure shift, if you already have a valid higher-timeframe setup



Illustrative example: level → breakout close → return → retest → confirmation → entry. Green = bullish; red = bearish.

6. Stop Loss

Place the stop where the trade idea becomes invalid.

Bullish:

- Below the retest low/wick and, where appropriate, below the broken zone.
- Use a sensible volatility/spread buffer.
- If the stop becomes too wide, reduce position size or skip the trade.

Bearish:

- Above the retest high/wick and, where appropriate, above the broken zone.
- Use a sensible buffer.
- Do not enlarge the stop merely to avoid taking a loss.

A stop is not a prediction of where price 'should never go'. It is the predefined point where **your setup is no longer valid**.

Never move a stop farther away simply because the market is approaching it. If your rules allow a stop adjustment, the adjustment must be defined before the trade.

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7. Take Profit & Risk/Reward

Your target should be logical, not simply chosen because a certain R multiple sounds impressive.

Possible targets:

- Next swing high/low
- Next higher-timeframe support/resistance
- Opposite side of a range
- A tested R multiple, provided the market has room to reach it

R means your initial risk. If you risk KSh 100, then 1R = KSh 100, 2R = KSh 200 and 3R = KSh 300.

Example: 40% wins averaging +2R and 60% losses averaging –1R gives a simplified expectancy of +0.20R before costs. This is a mathematical illustration, not a claim that this strategy achieves that win rate.

Do not force a 1:3 target when major resistance sits at 1.2R. Your system should define what minimum reward-to-risk is acceptable and test that rule.

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8. The De.Bluizz Fx Rule Set

Primary timeframe: 15M for execution. Use 1H/4H for context. Optional 5M only for refining an already-valid 15M setup.

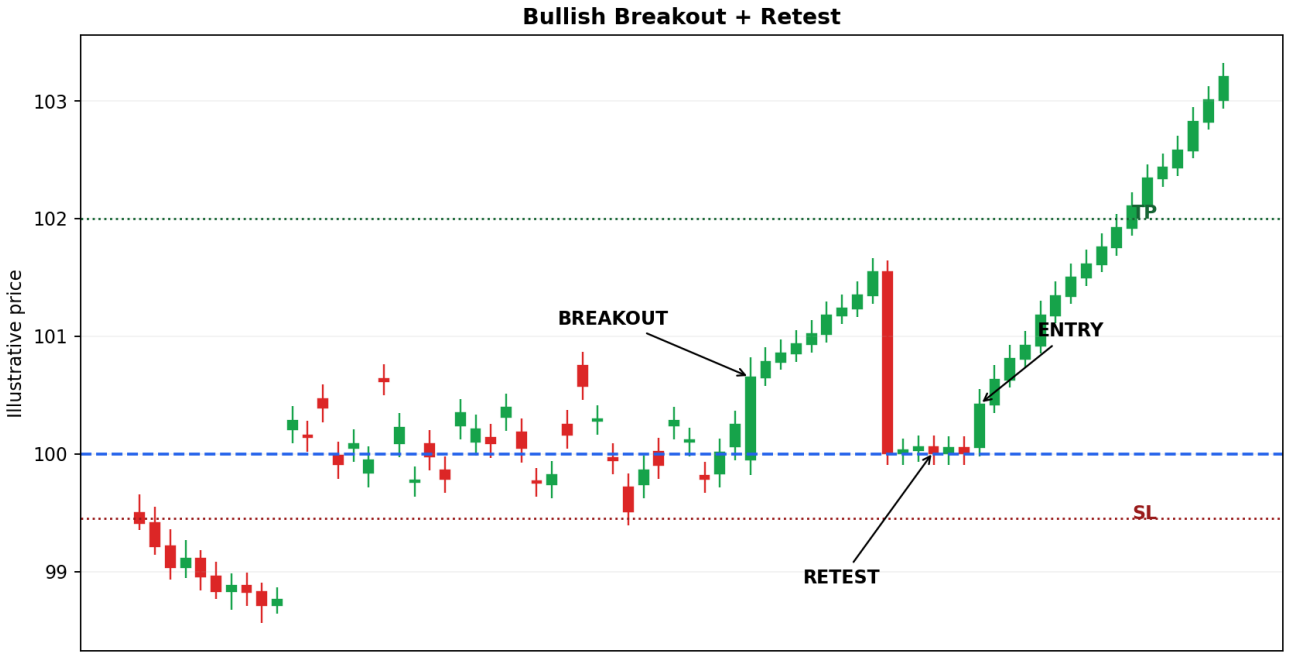
1. Mark major support/resistance and swing points.
2. Identify the level most likely to produce a meaningful break.
3. Wait for a candle close beyond the level.
4. Do not chase the breakout candle.
5. Wait for price to return to the broken zone.
6. Require a clear retest reaction.
7. Enter using your single chosen confirmation method.
8. Place SL beyond the invalidation structure.
9. Set TP at a logical opposing level or tested R objective.
10. Risk a small fixed percentage and record the trade.

THE DE.BLUIZZ RULE: If there is no clean **level + close + retest + confirmation + acceptable risk/reward**, there is **NO TRADE**.

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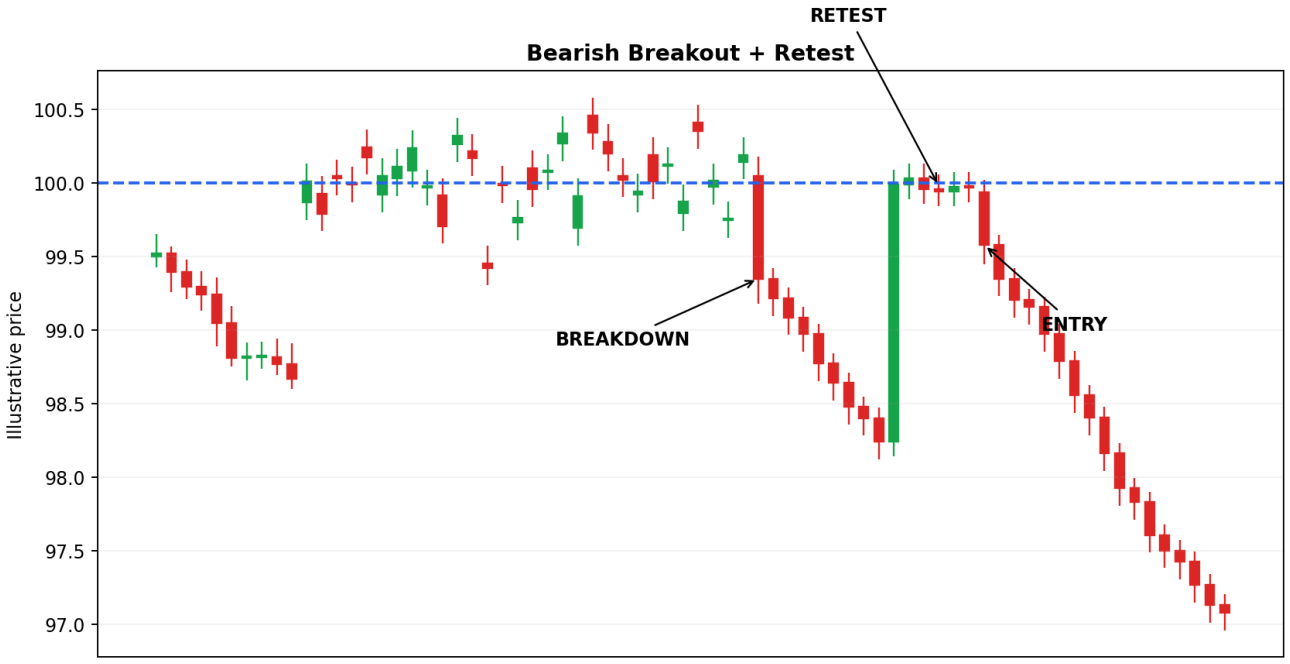
9. Bullish Setup

1. Find resistance with clear prior reactions.
2. Wait for a bullish candle to close above it.
3. Do nothing during the initial breakout impulse.
4. Wait for the pullback.
5. Let price test the former resistance.
6. Look for rejection/confirmation.
7. Enter according to your tested trigger.
8. Place SL below retest structure.
9. Place TP at the next logical target.
10. Exit/invalidate if price decisively reclaims the old resistance as resistance.

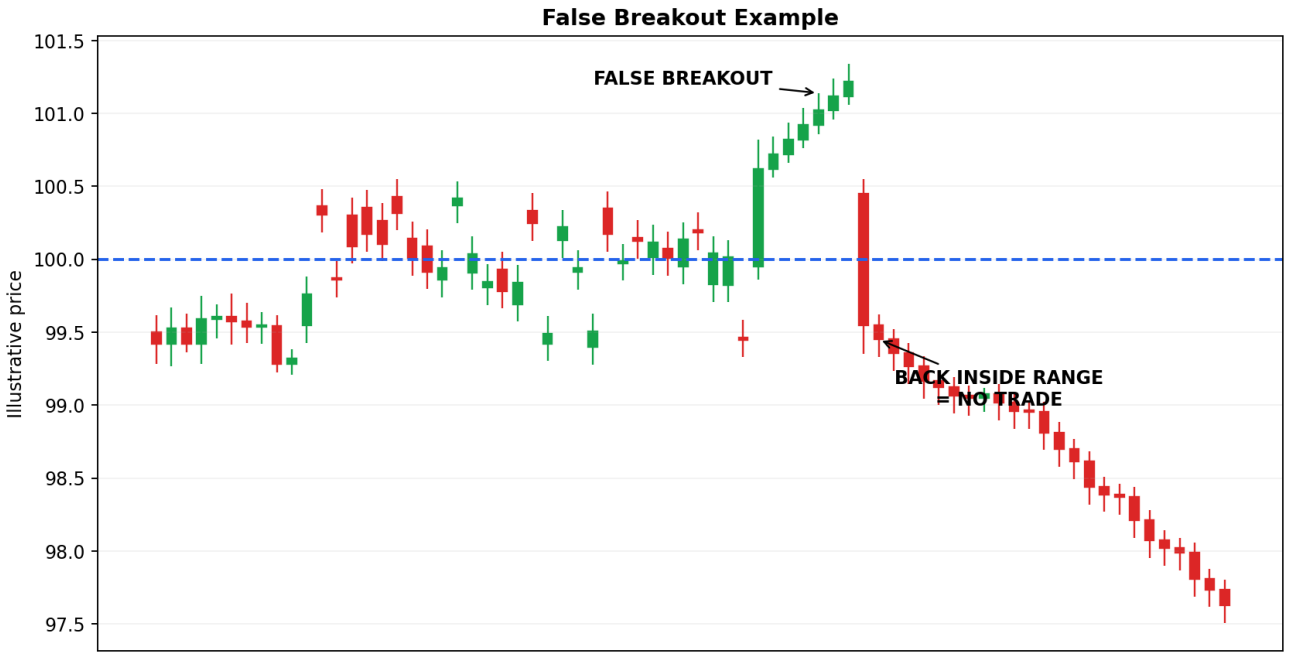


10. Bearish Setup

1. Find support with clear prior reactions.
2. Wait for a bearish candle to close below it.
3. Do not chase the breakdown.
4. Wait for price to pull back.
5. Let price test the former support.
6. Look for rejection/confirmation.
7. Enter according to your tested trigger.
8. Place SL above retest structure.
9. Place TP at the next logical target.
10. Exit/invalidate if price decisively reclaims the old support and holds above it.



11. False Breakouts



A false breakout is a break that cannot hold. The market returns through the level and may reverse strongly.

Common warning signs:

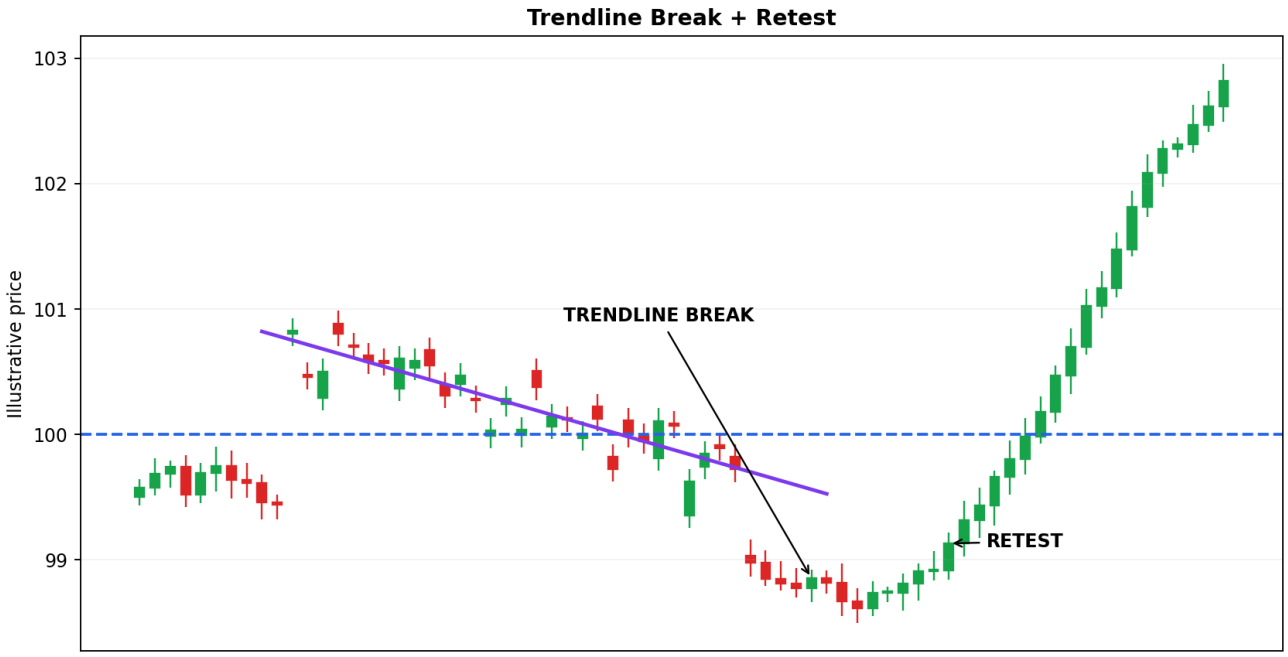
- Only a wick breaks the level.
- Breakout candle closes weakly or back inside the range.
- Immediate opposing level is nearby.
- News spike causes the move.
- Price is already extremely extended.
- The retest decisively destroys the breakout structure.

Your goal is not to predict every fakeout. Your protection is to wait for the retest, define invalidation before entry and keep risk controlled.

If price never retests, let the trade go. Missing a move is preferable to abandoning your rules.

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12. Trendline/Channel Variant



Break + retest can also be applied to a diagonal trendline or channel. Require multiple meaningful touches before considering a trendline significant.

For a one-strategy approach, keep horizontal breakout + retest as your **core setup**. Treat trendline/channel breaks as a secondary variation and do not mix their rules with the core setup until you have tested them separately.

13. Multi-Timeframe Analysis

1. **4H:** identify major market structure and major levels.
2. **1H:** refine the active zone and directional context.
3. **15M:** execute the breakout + retest setup.
4. **5M:** optional refinement only after a valid 15M setup exists.

Example: if a 15M bullish breakout occurs directly under a major 4H resistance level, the available room may be too small. Context is there to prevent you from taking technically attractive but poorly located trades.

Do not demand perfect alignment on every timeframe. The higher timeframe gives context; the execution timeframe gives the setup.

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14. Session, Spread & News Filters

- Trade when your chosen pair normally has sufficient liquidity.
- Check spread before entry.
- Avoid opening a fresh trade immediately before major scheduled economic news unless news trading is part of your separately tested plan.
- Be cautious with breakouts caused by sudden news spikes.
- Do not assume every session behaves identically.

A simple one-strategy system is easier to test if the news rule is: **avoid new entries immediately around high-impact scheduled releases**. You can later test whether your data supports a different rule.

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15. Position Sizing

Your position size should be calculated from the money you are willing to lose, not from how much margin the broker allows.

Position size = money risk ÷ (stop distance × value per unit movement)

The exact pip value depends on the instrument, account currency, contract size and broker. Verify the symbol specifications in MT5 before trading.

A conservative training range many traders use is roughly 0.25%–1% risk per trade; this is not a universal recommendation. For a new system, smaller risk gives you more room to learn.

Example: KSh 10,000 account at 0.5% risk = KSh 50 maximum planned loss. KSh 100,000 at 0.5% = KSh 500. Actual lot size still depends on stop distance and pip value.

Never use rent, food, emergency savings or borrowed money as trading risk capital. The CFTC warns that leveraged forex can amplify losses and that traders should only risk money they can afford to lose.

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16. Trade Management

Pick your management rules before entering.

Fixed target:

SL and TP are set and left alone. This is the easiest version to backtest.

Partial profit:

Take part of the position at a predefined level and manage the remainder. This changes your expectancy and must be tested separately.

Structure trailing:

Trail behind meaningful new swings, not every candle.

Break-even:

Moving to break-even too quickly can stop you out during normal retests. If you use it, define the exact trigger and test it.

Never convert a planned losing trade into an unplanned long-term hold.

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17. No-Trade Conditions

- No clear level.
- No candle close beyond the level.
- Price has already moved too far and there is no retest.
- Retest is so deep that the breakout structure is invalid.
- Major opposing level is too close.
- Spread is abnormal.
- Required stop is too large for your risk limit.
- You cannot explain where the setup is invalidated.
- You are entering because of FOMO or revenge.
- You have not checked the economic calendar when your rules require it.
- You are changing rules because the last trade lost.

A skipped trade is a successful execution of your plan.

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18. Backtesting

Do not decide that a strategy works or fails from a handful of trades. Build a dataset.

Suggested training process:

1. Collect 100–200 historical setups using the exact same rules.
2. Record valid trades and valid setups you skipped.
3. Use the same entry, stop, target and risk rules throughout the sample.
4. Measure win rate, average win in R, average loss in R, expectancy, drawdown and losing streak.
5. Then demo-test the same rules forward.
6. Only after enough evidence should you consider changing one rule at a time.

Expectancy formula:

Expectancy = (Win rate × Average win) – (Loss rate × Average loss)

Include spread, commissions and slippage where possible. A setup that looks profitable before costs can become much weaker after costs.

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19. Trading Journal

Field	Record
Pair / date / time	Instrument and exact setup time
Timeframes	4H / 1H / 15M / optional 5M
Level	Why the zone matters
Breakout	Close beyond level?
Retest	How price tested the zone
Confirmation	Exact trigger
Entry / SL / TP	Prices + R
Result	+R / -R / 0R
Mistake	Rule broken?
Screenshots	Before + after

Weekly review: What worked? What failed? Which rule was broken most often? What is your average R? Are losses caused by the strategy or by poor execution? Keep those questions separate.

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20. MT5 Checklist

1. Open the correct pair.
2. Confirm 15M execution timeframe.
3. Check 1H/4H context.
4. Mark the level.
5. Wait for the breakout candle to close.
6. Wait for the retest.
7. Confirm the entry trigger.
8. Calculate SL and money risk.
9. Calculate position size.
10. Check spread.
11. Check major scheduled news.
12. Confirm target and reward-to-risk.
13. Place order with SL/TP.
14. Do not interfere emotionally.
15. Journal the trade.

> On a phone, zoom out before entering. A clean retest can look perfect when zoomed in but be directly beneath a major higher-timeframe resistance when you zoom out.

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21. Psychology

1. No FOMO: if price leaves without a retest, let it go.
2. No revenge trading.
3. No increasing risk after a loss.
4. No moving stops farther away because of fear.
5. No strategy switching after a small losing streak.
6. Treat waiting as part of the strategy.
7. Judge yourself by rule-following, not by whether the last trade won.

Professional thinking: **I control the process; I do not control the market.**

The CFTC reports that about two out of three retail forex traders end each quarter in the red in the U.S. data it cites, and warns that past performance does not guarantee future success. That is why this lesson emphasizes evidence, risk control and disciplined execution rather than promises of easy income.

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22. 30-Day Training Plan

Days 1–5: identify 20 historical breakout/retest examples per day. Label level, break, retest and invalidation.

Days 6–12: collect at least 50 setups and record every detail.

Days 13–20: reach 100+ setups. Calculate win rate, R results and common failure patterns.

Days 21–30: demo forward-test only the written rules. Do not change the system after one or two losses.

At the end, review the data. If a rule needs improvement, change one variable and start a new test sample so the results remain comparable.

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23. Master Checklist & Glossary

MASTER CHECKLIST

- ■ Meaningful level identified
- ■ Higher-timeframe context checked
- ■ Candle closed beyond level
- ■ No immediate opposing obstacle
- ■ Retest occurred
- ■ Retest confirmed
- ■ Entry trigger met
- ■ Stop at invalidation
- ■ Position size based on fixed risk
- ■ Target logical
- ■ Reward-to-risk acceptable
- ■ Spread/news acceptable
- ■ No FOMO/revenge
- ■ Screenshot and journal completed

GLOSSARY

- **Breakout:** close beyond a defined boundary.
- **Retest:** return to the broken boundary.
- **Support:** area where selling has previously stalled.
- **Resistance:** area where buying has previously stalled.
- **Confirmation:** evidence that the retest is holding.
- **Invalidation:** behavior that proves the setup wrong.
- **R:** one unit of initial risk.
- **RR:** risk-to-reward relationship.
- **Fakeout:** failed breakout that returns through the level.

DE.BLUIZZ FINAL PRINCIPLE: You do not need to catch every move. You need to recognize your setup, execute it consistently and protect your account when you are wrong.

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24. References & Risk Notice

General risk and forex-market context was checked against the following sources:

- CFTC — Eight Things You Should Know Before Trading Forex: https://www.cftc.gov/LearnAndProtect/AdvisoriesAndArticles/CustomerAdvisory_MustKnowForex.html
- CFTC — Forex Frauds: https://www.cftc.gov/LearnAndProtect/forexfrauds
- CFTC — Foreign Currency Trading: https://www.cftc.gov/LearnAndProtect/AdvisoriesAndArticles/ForeignCurrencyTrading/index.htm
- NFA — Forex Regulatory Guide: https://www.nfa.futures.org/members/member-resources/files/forex-regulatory-guide.html
- HowToTrade — Break and Retest Trading Strategy: https://howtotrade.com/wp-content/uploads/2024/08/Break-and-Retest-Trading-strategy.pdf
- TradingView example — Break & Retest Strategy: https://www.tradingview.com/chart/EURUSD/OkU8CHz0-Break-Retest-Strategy-How-To-Trade/

The charts in this PDF are original educational illustrations generated for De.Bluizz Fx; they are not live market screenshots and do not represent guaranteed historical performance.

Risk notice: Forex is leveraged and speculative. You can lose money rapidly. Never risk money required for living expenses or money you cannot afford to lose. Verify your broker's regulation, fees, execution conditions and withdrawal rules. Be especially cautious of guaranteed-profit claims and requests to pay extra fees to release supposed profits.

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